



FERLITA NUSSEL DOWELL
FINANCIAL GROUP



Your Federal Benefits, *Decoded*

A clear walk through your FERS pension, your TSP, and your Social Security, and how the three are meant to work together.

Kaleb Bridgemohan

FINANCIAL ADVISOR • IRS ENROLLED AGENT

wealthwithkaleb.com

A retirement built on *three pillars*

Why federal benefits don't work like a typical retirement plan

If you work for the federal government, your retirement was never meant to rest on one source of income. It was designed from the start to stand on three legs: your FERS pension, your Thrift Savings Plan, and Social Security. Each one does a different job, and each one has its own rules about timing, taxes, and growth.

A three legged stool only works if all three legs are the right length. Most of the costly mistakes federal employees make come from treating one pillar in isolation.

That design is a real strength. Few people outside government service have a pension at all anymore, and even fewer have one paired with a dedicated retirement savings plan and Social Security on top of it. But the strength only shows up if the three pieces are coordinated, with the right claiming age, the right withdrawal order, and a tax strategy that accounts for all three at once.

This guide walks through each pillar on its own, then looks at how they fit together, how Florida's own retirement system compares if you have served under both, what FEHB and FEGLI decisions you'll face at retirement, and where federal employees most often leave money on the table.

Inside this guide

02	Your FERS pension, explained simply	p.3
03	The Thrift Savings Plan and your choices inside it	p.4
04	Social Security and the federal employee	p.5
05	Florida Retirement System, versus FERS	p.6
06	FEHB and FEGLI decisions at retirement	p.7
07	Survivor benefits and protecting your spouse	p.8
08	Where federal employees lose the most money	p.9

Your FERS pension, *explained simply*

The first and steadiest of your three pillars

Your Basic Benefit under the Federal Employees Retirement System is a pension that pays you a set amount for life, based on a straightforward formula rather than how markets perform. It rewards two things above all else: your years of service and your highest average salary.

The basic formula

High three average salary, multiplied by your years of creditable service, multiplied by a multiplier of about 1 percent (or about 1.1 percent if you retire at 62 or later with at least 20 years of service).

Three things that move the number

1 High three

Your highest average basic pay over any three consecutive years, almost always your final three years of service.

2 Service years

Every year of creditable service raises your pension. Buying back certain prior service, such as military time, can matter here.

3 Retirement age

Retiring at 62 or later with 20 plus years unlocks the higher 1.1 percent multiplier on your entire pension.

Unlike a 401(k) balance, your pension does not move with the market and does not run out. That stability is valuable, but it also means the pension by itself usually is not enough to fully replace your working income. It is built to be one leg of the stool, not the whole stool.

Source: U.S. Office of Personnel Management, FERS Basic Benefit rules. Figures are general and your own pension depends on your individual service history and pay record.

The Thrift Savings Plan, *your choices*

The pillar you have the most control over, for better or worse

The TSP is your federal 401(k) equivalent, and it is where your own decisions matter most. How much you contribute, which funds you choose, and when you start drawing from it shape this pillar far more than the other two.

Three decisions worth getting right

- **Capture the full match.** Your agency matches a portion of your contributions up to 5 percent of pay. Contributing less than 5 percent leaves part of your own compensation on the table.
- **Traditional versus Roth.** Traditional contributions lower your taxable income now and are taxed on withdrawal. Roth contributions are taxed now and grow tax free. The right mix depends on your current bracket versus your expected bracket in retirement.
- **Fund selection.** The TSP offers a small set of low cost index style funds (the G, F, C, S, and I funds) plus Lifecycle funds that adjust automatically as you age. Simplicity is a feature here, not a limitation.

A common federal employee mistake

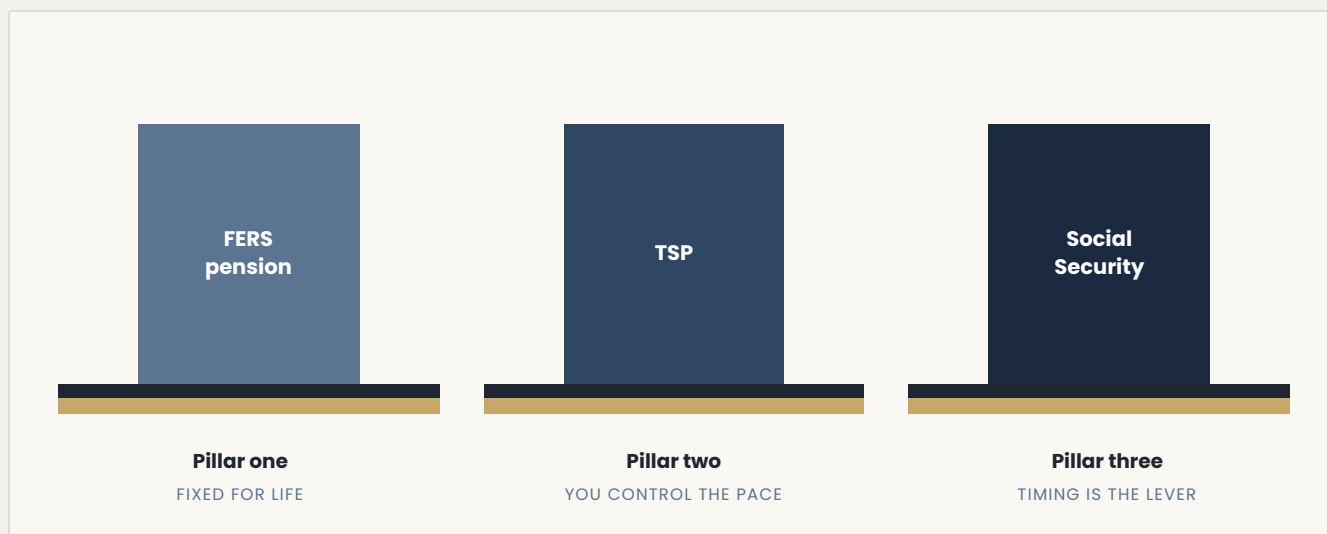
Leaving the entire balance in the G Fund for decades out of caution. The G Fund protects principal, but its long run returns have historically trailed inflation adjusted growth from the C and S funds. Being too conservative for too long is its own kind of risk.

At retirement, the TSP does not force you into an annuity or a fixed withdrawal schedule. You control the pace, which means you also carry the responsibility for making it last, in coordination with your pension and Social Security.

Source: Thrift Savings Plan rules and fund descriptions, tsp.gov. Fund performance figures are general and historical; past performance does not predict future results.

Social Security and the *federal employee*

The third pillar, and the one most often claimed too early



Most federal employees pay into Social Security alongside their FERS pension, and the same claiming rules apply to you as everyone else: as early as 62, full retirement age around 67, or as late as 70, with your monthly benefit permanently set by the age you choose.

What is different for federal employees is the order of operations. Many retire from federal service well before age 62, often in their late fifties or early sixties, which means there is a real gap between when the paycheck stops and when Social Security can begin. Coordinating your pension, your TSP, and that gap is exactly the kind of planning this guide is meant to support.

A note for employees who served under CSRS

If part of your career was covered by the older Civil Service Retirement System rather than FERS, the Windfall Elimination Provision and Government Pension Offset rules that once reduced Social Security benefits for CSRS annuitants were repealed for benefits payable after December 2023. If you were affected by these rules in the past, it is worth having your benefit recalculated.

Source: U.S. Social Security Administration, including guidance on the Social Security Fairness Act and its effect on WEP and GPO.

Florida Retirement System, *versus FERS*

For employees who have served under both, or are weighing one against the other

If you came to federal service from a Florida state, county, or school district job, or you are weighing an offer in either direction, the two systems share a similar spirit but differ in structure. Both blend a guaranteed benefit with Social Security. Where they part ways is in how much choice you are given, and how early that choice gets locked in.

The biggest structural difference

FERS gives every employee both a pension and a TSP account automatically. FRS asks you to choose, generally once, between a traditional Pension Plan or an Investment Plan that works like a 401(k). There is no FRS equivalent of getting both by default.

FEATURE	FERS (FEDERAL)	FRS (FLORIDA)
Plan structure	Pension and TSP, both automatic	Choose Pension Plan or Investment Plan
Social Security	Included alongside the pension	Included alongside either FRS option
Pension vesting	Generally 5 years of service	6 to 8 years, depending on enrollment date
Savings plan vesting	TSP match vests quickly	Investment Plan vests in about 1 year
Working while drawing benefits	Limited bridge support before 62, with its own rules	DROP lets you keep working while your pension accrues

Source: U.S. Office of Personnel Management for FERS rules, and the Florida Division of Retirement and MyFRS.com for FRS rules. Both systems are set by statute and can change; figures here are general and depend on your enrollment date and employment class.

FERS hands you both pieces and asks you to manage them well. FRS hands you a fork in the road and asks you to choose the right path before you can even start.

One more difference worth knowing: FRS includes the Deferred Retirement Option Program, or DROP, which has no real counterpart in FERS. DROP lets a vested Pension Plan member lock in their benefit, keep working for up to eight years, and let that pension accumulate with interest in a trust account rather than collecting it right away. It is a powerful tool for Florida employees who reach normal retirement age but are not ready to stop working, and the decision of when to enter it deserves the same care as any other major retirement choice.

FEHB and FEGLI *at retirement*

The insurance decisions that are far easier to get right before you retire than after

Health insurance (FEHB)

To carry your Federal Employees Health Benefits coverage into retirement, you generally need to have been enrolled for the five years immediately before you retire. This single rule quietly disqualifies people who switch to a spouse's plan or drop coverage shortly before leaving federal service.

Life insurance (FEGLI)

Federal Employees' Group Life Insurance premiums rise sharply with age after retirement unless you elect a reduction. Many retirees find that converting to a private policy, or simply self insuring with savings, costs less over time than keeping full FEGLI coverage.

The five year FEHB rule is one of the few federal benefit decisions where there is genuinely no way to undo a mistake after the fact. It has to be right going in.

Both of these decisions are easy to treat as paperwork to fill out during your final weeks of service. In practice, they deserve attention years earlier, because the eligibility windows and cost tradeoffs are set well before your last day on the job.

Questions worth asking before you retire

- Have I been continuously enrolled in FEHB for the five years before my planned retirement date?
- Does it make sense to keep full FEGLI coverage, reduce it, or convert to a private policy?
- How will my FEHB premium in retirement compare to Medicare once I am eligible at 65?

Survivor benefits

Protecting the person who depends on your pension after you are gone

Your FERS pension comes with a choice that is easy to underestimate: whether to elect a survivor annuity for your spouse. The decision is made at retirement and is difficult to change later, which makes it one of the most consequential choices in the entire process.

Full survivor election

Your spouse receives **50 percent** of your pension after you pass away. Your own monthly pension is reduced by about 10 percent to pay for this protection.

Partial or no election

A partial election provides a smaller survivor benefit at a smaller reduction. Declining the benefit entirely keeps your full pension amount, but generally requires your spouse's notarized consent.

It can be tempting to decline the reduction and keep the larger pension check, especially if other assets seem sufficient. But a pension is one of the few income sources that is fully insured against market risk and against living a long life. Giving that protection up is a permanent decision made at a single point in time, often years before you can see how the rest of retirement actually unfolds.

How this connects to the other two pillars

A spouse who loses the pension survivor benefit may lean harder on Social Security survivor benefits and the TSP balance to make up the difference. Modeling all three pillars together, rather than deciding on the pension survivor election by itself, usually produces a better outcome for the household.

Where federal employees *lose the most*

The patterns I see most often, and why they are avoidable

Most federal benefit mistakes are not the result of bad decisions. They are the result of three separate systems, the pension office, the TSP, and Social Security, never being looked at together by the same person at the same time.

- **Contributing less than 5 percent** to the TSP and leaving part of the agency match unclaimed.
- **Declining the survivor annuity** without modeling what it actually means for a spouse later.
- **Retiring without checking the FEHB five year rule** and losing health coverage eligibility.
- **Choosing FRS Pension or Investment Plan** without comparing it against how FERS already structures both pieces for you.
- **Claiming Social Security on a hunch** instead of coordinating it with the pension and the TSP.
- **Never recalculating benefits** after a change in law, such as the WEP and GPO repeal.

One advisor. All three pillars, and your taxes.

I hold a dual role on purpose. I'm a **Financial Advisor** and an **IRS Enrolled Agent**. That means your pension, your TSP, your Social Security timing, and the tax return that ties them all together are planned by the same person, at the same table.

Three separate systems rarely add up correctly on their own. Someone has to sit at the intersection of all three, and that is the role I try to play for my federal clients.

When your pension election, your TSP strategy, and your Social Security timing are designed together, with your tax return in view the whole time, the federal benefits system works the way it was actually built to work.

Your next *step*

A conversation, not a commitment

Kaleb Bridgemohan, Financial Advisor and IRS Enrolled Agent

Based in Tampa, Florida, I work with federal employees and retirees to coordinate their FERS pension, TSP, and Social Security into one tax aware income plan. As both a financial advisor and an IRS Enrolled Agent, I help you see all three pillars and your tax return as one connected picture, rather than three separate decisions made at three separate times.

Schedule a complimentary federal benefits review.

We'll walk through your pension, your TSP, and your Social Security timing together. No obligation.



SCAN TO VISIT
WEALTHWITHKALEB.COM

WEBSITE

wealthwithkaleb.com

FIRM

fndfg.com

PHONE

561-906-7923

This guide is provided for general educational purposes only and does not constitute investment, tax, legal, or accounting advice, nor a recommendation to buy or sell any security or to adopt any particular strategy. The examples and figures here are general in nature, are not guarantees of any outcome, and may not reflect your individual circumstances. Federal and state benefit rules, including FERS, TSP, FEHB, FEGLI, the Florida Retirement System, and Social Security provisions, change over time and depend on your personal service history and enrollment date; figures cited reflect general rules as of the date of publication and may not apply to you. Investing involves risk, including the possible loss of principal; past performance does not guarantee future results. Please consult your own qualified tax, legal, and financial professionals, along with your agency's or employer's human resources office, before acting on any information contained here. Advisory services offered through Advisory Services Network, LLC. Kaleb Bridgemohan is affiliated with Ferlita Nussel Dowell Financial Group (FND Wealth Management). Tax services offered separately through FND Tax Management / BridgePoint Business Solutions. © 2026 Kaleb Bridgemohan. All rights reserved.